

Fearnleys Dry Bulk Market Outlook

Jan 27, 2025

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SUMMARY AND OUTLOOK

In our previous report published in December, we wrote the following:

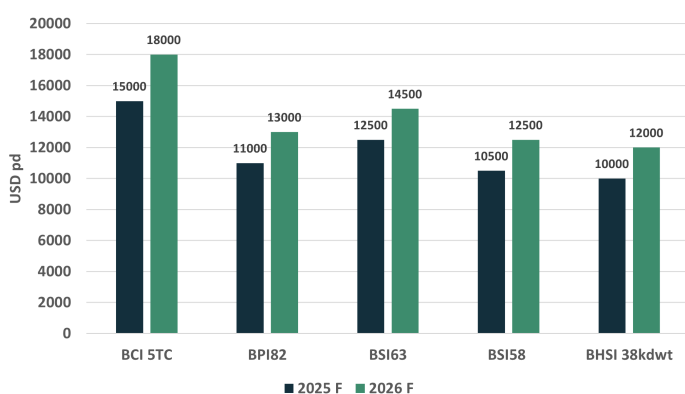
Our market viewpoints always start by analyzing shipment volume growth against supply growth, as the other factors are more uncertain. Since Q4 last year, our view has been that shipment volume growth would drop below supply growth during the first half of 2025, so downside risk would escalate during the second half of 2025. We still seem on track for that development, which is a little worrying considering where earnings are now. On the other hand, as shipment volume growth remains positive it could mean that markets will rebound strongly after the Chinese New Year next year if sailing distances, congestion, and sailing speeds go in owners favor.

The part about “worrisome” is so far playing out, with Pacific earnings around all-time lows for all segments. Record high coal inventories in China and a much slower-than-usual grain harvest in South America could mean the weakness will persist for a few more weeks after the Chinese New Year. A positive point is that China’s iron ore consumption is higher than last year, but it remains below 2023 levels and inventories in ports and steel mills are higher than last year.

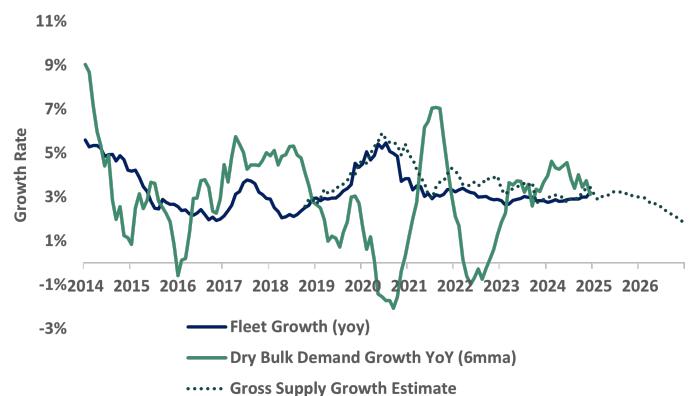
The fundamental outlook for 2025 remains bearish in our view. There are no clear signs yet that China’s recent stimulus announcements are translating into higher credit growth. Next month’s release of the January lending numbers will be important in this respect, as that is when lending figures are the highest. Should that figure be at record high one can perhaps start counting down to when a recovery will take hold, but in any case, there is always a lag until it impacts dry bulk markets. Manufacturing activity in the World ex-China remains dull, with all PMIs hovering around 50 and most countries’ readings below 50. These readings are likely to remain around 50 at best as long as China’s growth is low, the dollar remains strong and interest rates remain relatively high.

As it is hard to find factors suggesting strong demand growth in any country or region this year, earnings are likely to average lower than in 2023, as in that year China’s demand improved strongly. We expect the cycle to bottom at some point between Q4 this year and Q2 2026 and are therefore tentatively bullish for 2H 2026 and 2027. The below earnings forecasts reflects these views.

Earnings Forecasts



Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)



Baltic Exchange, Fearnleys

SUPPLY OUTLOOK

Total fleet statistics

2024 Deliveries: 32.0 million DWT



2024 Scrapping: 3.3 million DWT

2024 Year-on-Year Fleet Growth: 3.2%

YTD 2025 Deliveries: 3.5 million DWT

YTD 2025 Scrapping: 0.45 million DWT

Remaining on schedule for 2025 delivery: 30.7 million DWT

Fleet statistics per segment.

Handysize

2024 Deliveries: 5.3 million DWT

2024 Scrapping: 1.1 million DWT

2024 Year-on-Year Fleet Growth: 3.0%

YTD 2025 Deliveries: 0.5 million DWT

YTD 2025 Scrapping: 0.14 million DWT

Remaining on schedule for 2025 delivery: 4.8 million DWT

Supramax/Ultramax

2024 Deliveries: 10.2 million DWT

2024 Scrapping: 0

2024 Year-on-Year Fleet Growth: 5.0%

YTD 2025 Deliveries: 1.5 million DWT

YTD 2025 Scrapping:

Remaining on schedule for 2025 delivery: 10.5 million DWT

Panamax/Kamsarmax

2024 Deliveries: 8.8 million DWT

2024 Scrapping: 1.4 million DWT

2024 Year on Year Fleet Growth: 3.0%

YTD 2025 Deliveries: 0.9 million DWT

YTD 2025 Scrapping: 0.16 million DWT

Remaining on schedule for 2025 delivery: 8.2 million DWT

Capesize/Newcastlemax

2024 Deliveries: 7.7 million DWT

2024 Scrapping: 0.7 million DWT

2024 Year-on-Year Fleet Growth: 1.9%

YTD 2025 Deliveries: 0.42 million DWT

YTD 2025 Scrapping: 0.15 million DWT

Remaining on schedule for 2025 delivery: 7.1 million DWT



Orderbook to Existing Fleet Ratios (in DWT terms)

Total Fleet:	9.4%
VLOC:	6.0%
Capesize/Newcastlemax:	7.0%
Panamax/Kamsarmax:	11.0%
Supramax/Ultramax:	12.3%
Handysize 25-50kdw	8.5%

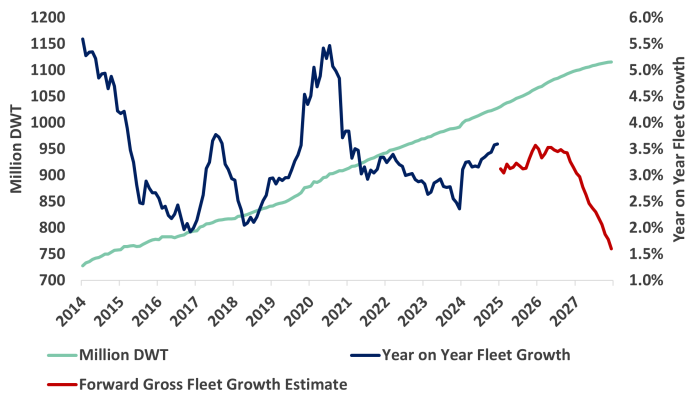
Total fleet growth estimates

2025: About 3.0%

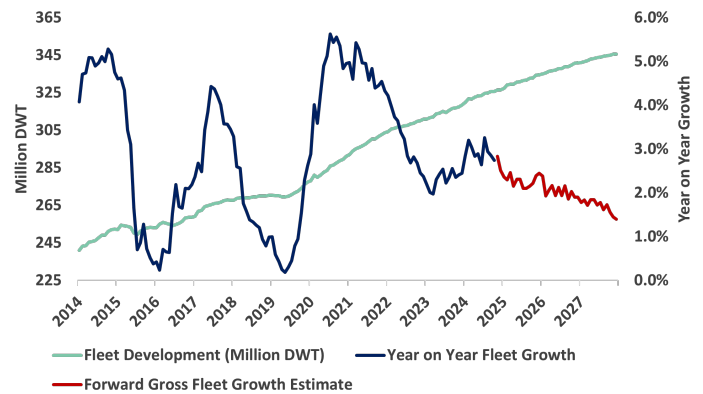
2026: About 2.0%

Fleet Growth and Forward Gross Estimates

Total Fleet Growth Including Estimate



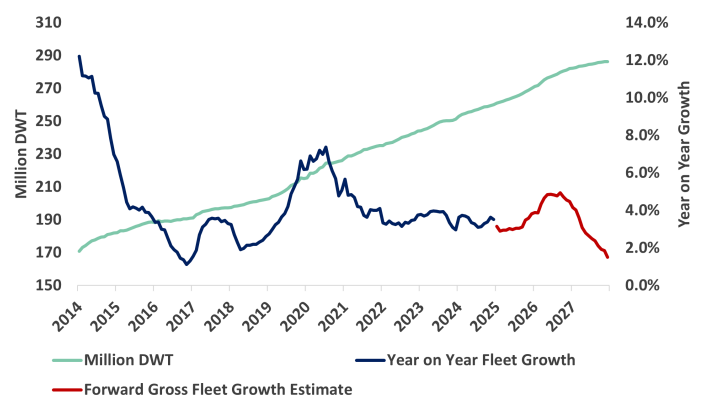
Cape/Newc Fleet Growth Including Estimate



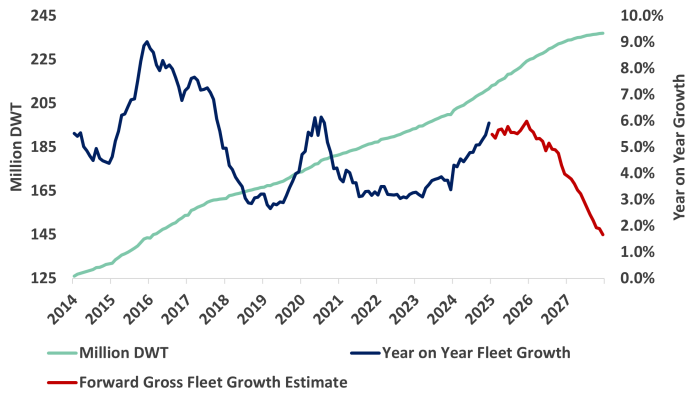
VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



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PERIOD RATES AND ASSET VALUES

The correlation between 1-year time charter rates and second-hand values still suggests that either values have to fall, or 1-year time charter rates have to rise.

Capesize:

A 10-year-old vessel has to fall to the mid-30 million, or the 1-year-TC rate has to rise to the low twenty thousands.

Kamsarmax:

A 10-year-old vessel has to fall to the high teens, or the 1-year-TC rate has to rise to the high teens.

Supramax:

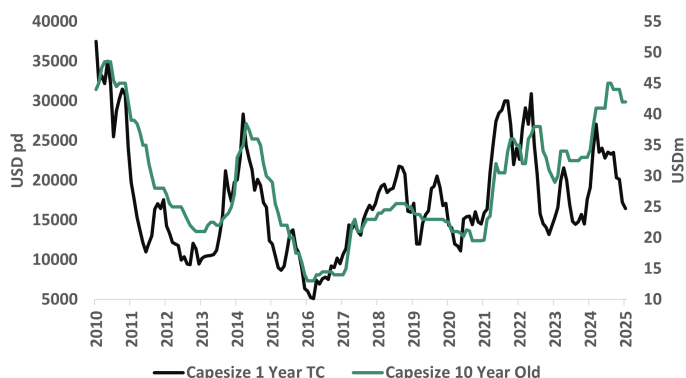
A 10-year-old vessel has to fall to the high teens, or the 1-year-TC rate has to rise to the high teens.

Handysize:

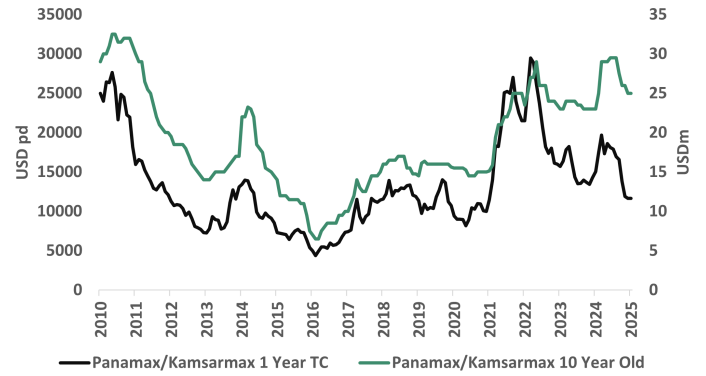
A 10-year-old vessel has to fall to the mid-teens, or the 1-year-TC rate has to rise to the mid teens.

Asset Values vs Period Rates

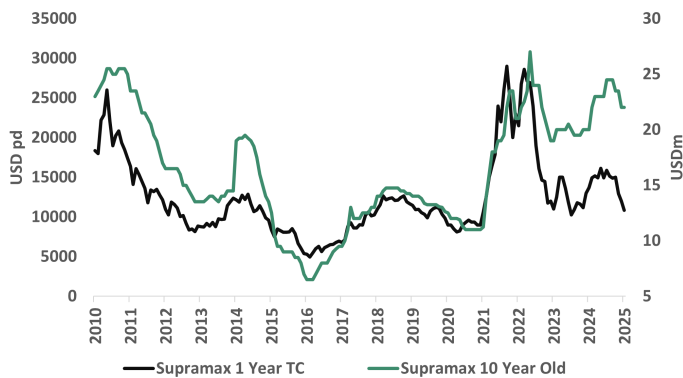
Capesize 1 Year TC vs Capesize 10 Year Old



Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old



Supramax 1 Year TC vs Supramax 10 Year Old



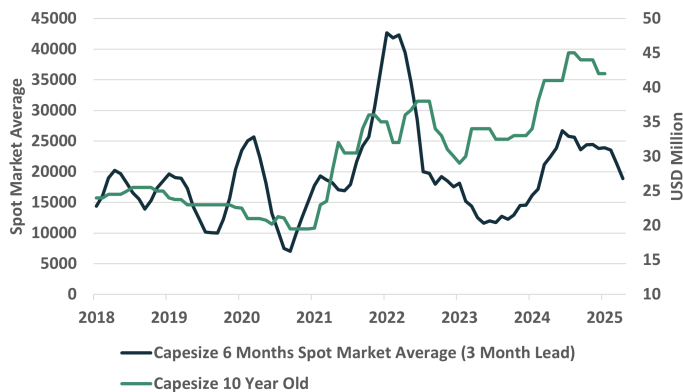
Handysize 1 Year TC vs Handysize 10 Year Old



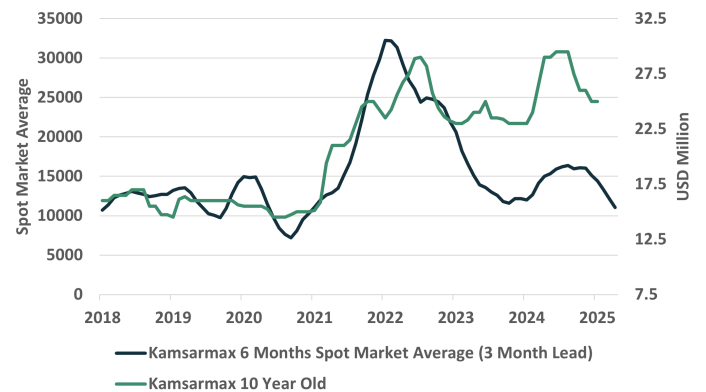
Fearnleys

Asset Values vs Spot Earnings Averages

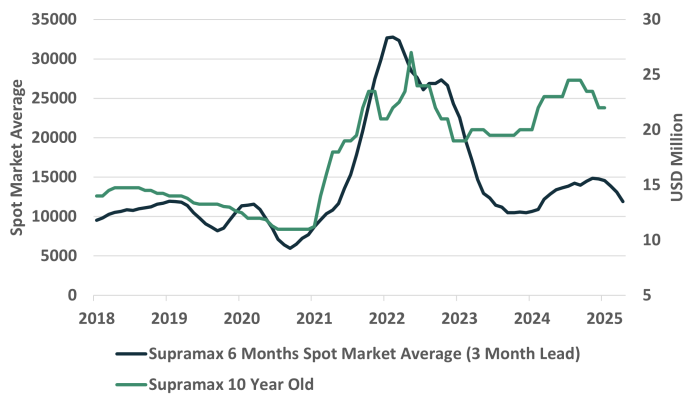
Capesize 6 Months Spot Market Average (Moved 3 Months Forward) vs Capesize 10 Year Old



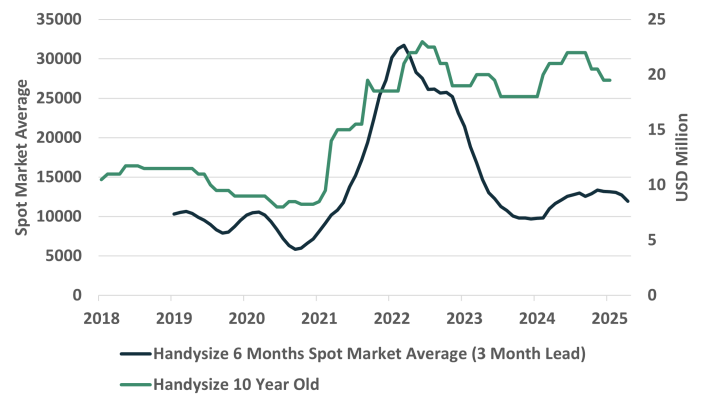
Kamsarmax 6 Months Spot Market Average (Moved 3 Months Forward) vs Kamsarmax 10 Year Old



Supramax 6 Months Spot Market Average (Moved 3 Months Forward) vs Supramax 10 Year Old



Handysize 6 Months Spot Market Average (Moved 3 Months Forward) vs Handysize 10 Year Old



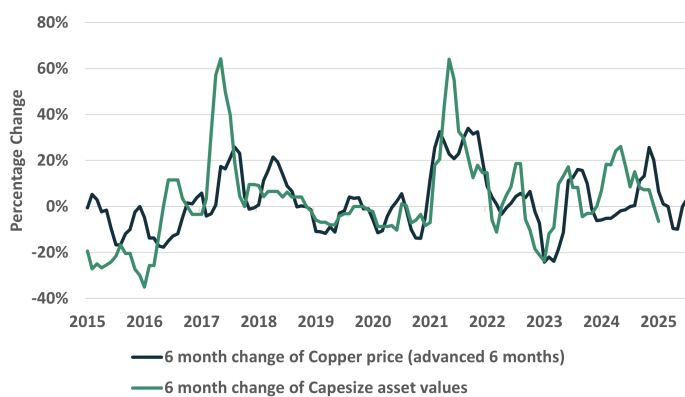
Baltic Exchange, Fearnleys

Asset Values vs Commodity Prices

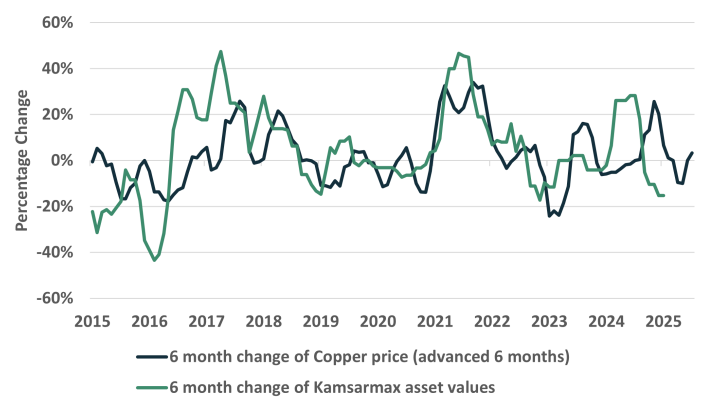
Industrial metals prices often leads the change in second-hand values by around 6 months. The charts below display the preceding 6 months' change in the price of copper (the curve is shifted 6 months forward) against the preceding 6 months' change in Capesize, Kamsarmax, and Supramax 10-year-old second-hand values.

The price of copper rebounded earlier this year but has since dropped back. The lead thus indicates a stabilization in second-hand values around the middle of this year. However, before that the indication is bearish.

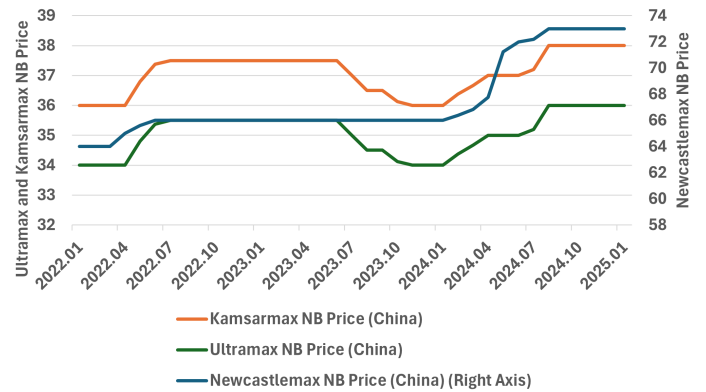
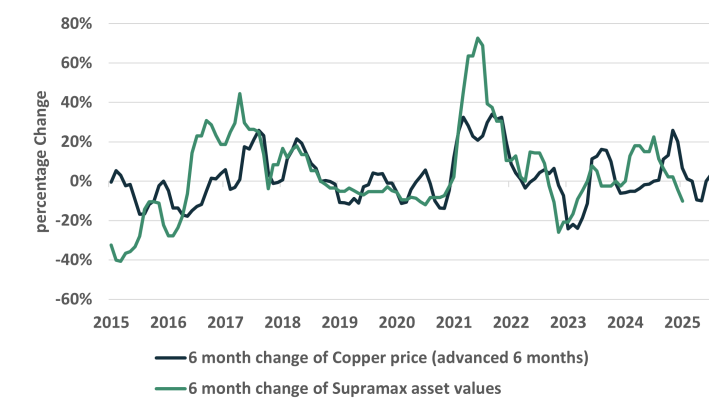
Copper Price Change vs Capesize 10 Year Old Change



Copper Price Change vs Kamsarmax 10 Year Old Change



Copper Price Change vs Supramax 10 Year Old Dry Bulk Newbuilding Prices



S&P Global, FRED, Fearnleys

TRADE FLOWS

2024 Trade Flow Statistics

Iron Ore

Exports

Australia: 1.1%
 Brazil: 5.2%
 Canada: 2.6%
 India: -15.5%
 South Africa: 0.4%

Total Exports: 2.3%

Imports

China: 4.0%
 World ex-China: 2.9%

In our previous report from December, we wrote the following:

Next year, we do not see much potential for growth in iron ore import demand. Port inventories in China are close to the highest level in the last 10 years, with high-grade inventories making up most of it. Imported iron ore consumption in China is 3.2% lower than in the same period last year, so even if the stimulus measures work immediately there is a gap to 2023 levels that needs to recover.

Manufacturing in the world, excluding China, seems too weak to expect much growth, with recent layoff announcements in the German industry as one clear signal. PMI readings are below 50 in over half of the countries included in the surveys by Markit.

We still see it as more likely that growth in iron ore trades will be negative rather than positive this year. However, it is worth noting that China's iron ore consumption has been positive year-on-year since November, so fundamentals seems to be stabilizing. However, consumption remains below 2023 levels, and it will take time before any stimulus measures will impact the dry bulk market, in our opinion. Inventories are also significantly higher than last year.

Coal

Exports

Australia: 3.3%
Canada: -2.3%
Colombia: -0.8%
Indonesia: 6.3%
Russia: -14.0%
South Africa: 2.2%
USA: +6.2%

Total Exports: +1.8%

Imports

China: 13.5%
India: -0.1%
South East Asia: 10.3%
Europe and Med: -17.0%
South America: 0.0%
Japan: -1.4%
Korea: -5.5%

In our previous report from December, we wrote the following:

China's import coal demand looks set to weaken next year, with inventories reported at record highs, along with plans to increase domestic production by 100 million tons. India and South East Asia's imports are likely to grow, due to underlying high economic growth rates. Developed economies' imports will depend on steel markets, which as mentioned above does not look too promising. Otherwise, the demand for thermal coal imports will depend on energy markets in general. Seaborne coal supply remains constrained, with only Indonesia able to increase supply significantly in the last two years. As long as the war in Ukraine continues, Russia's supply is likely to fall further, and the remaining major exporters do not seem likely to increase supply.

Weakness in seaborne coal markets is the main risk to fundamentals this year. All coal market analysts expect China's imports to be lower than last year.

Grains

Total Exports: 5.0%
Brazil: -14.0%
Argentina: 54.0%
Russia: 2.8%
Ukraine: 36.0%
USA: 20%
China Imports: -4.0%

Forecasts are for Brazilian and Argentinian grain volumes to be higher than last season, which should help the markets rebound from mid/late February. The Brazilian harvest is progressing slower than usual this year, however.

Minor Bulks

Breakbulk: 1.3%



Fertilizers: 6.1%
Steels: 9.3%
Other Minor Bulks: 2.4%
Bauxite: +9.2%
Total Minor Bulks: 3.7%

Minor bulks shipment growth is likely to be lower than last year, as economic indicators continue to indicate that the cycle is turning downwards. However, Bauxite shipments is likely to grow

2024 Summary:

Total Atlantic Exports Growth: 3.6%

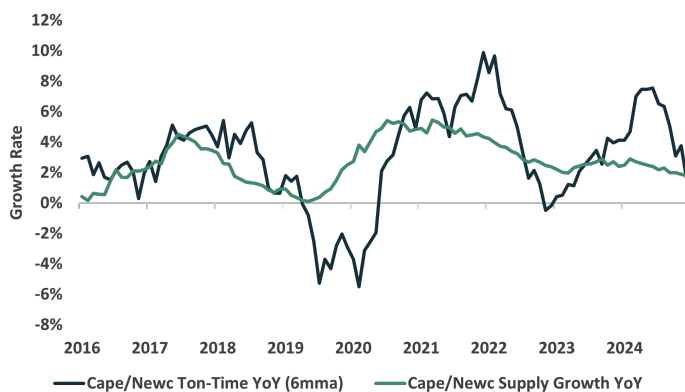
Total Pacific Exports Growth: 4.2%

Total Exports Growth: 4.0%

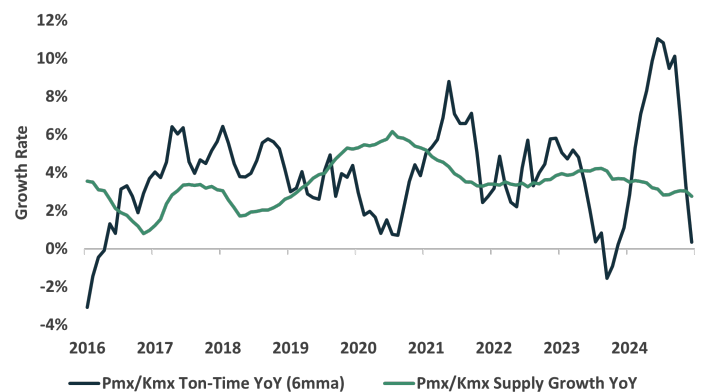
Total Supply Growth: 3.2%

This year we expect supply growth of around 3.0%, and shipment volume growth around 0.0%.

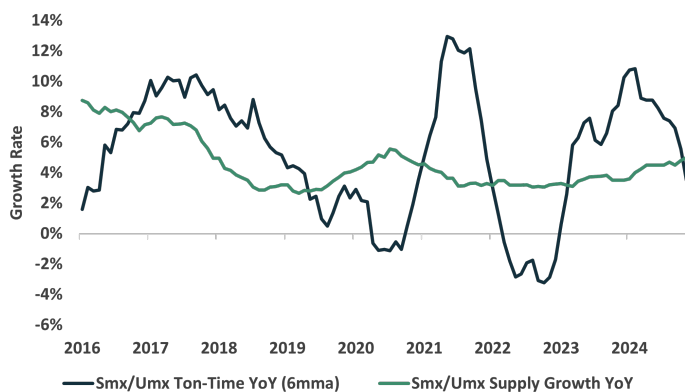
Capesize/Newcastlemax Ton-Time Growth vs Supply Growth



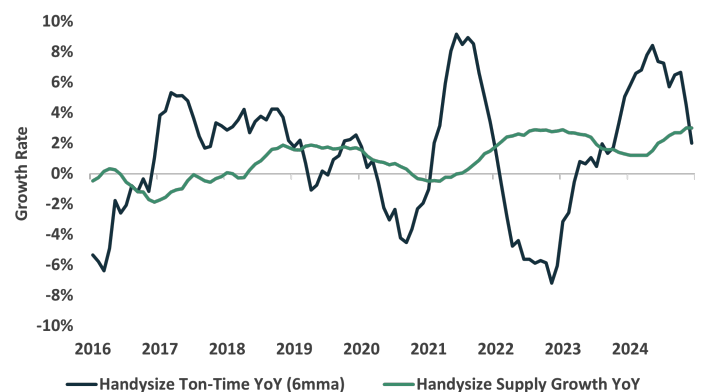
Panamax/Kamsarmax Ton-Time Growth vs Supply Growth



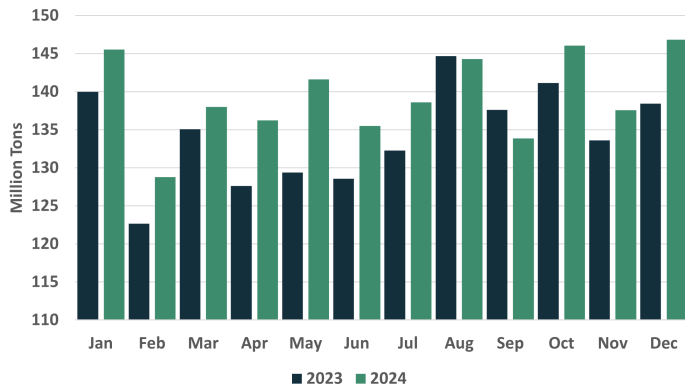
Supramax/Ultramax Ton-Time Growth vs Supply Growth



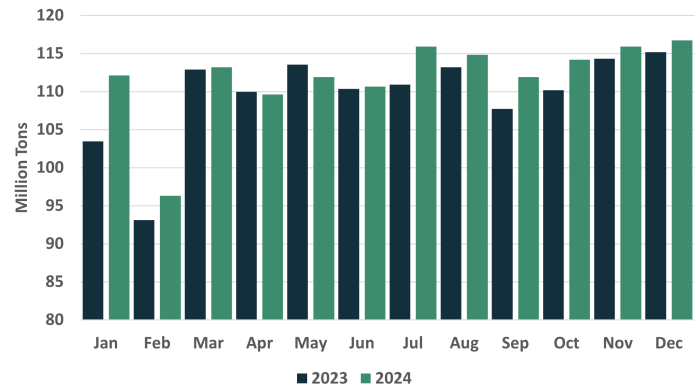
Handysize Ton-Time Growth vs Supply Growth



Global Iron Ore Discharges, 2023 vs 2024



Global Coal Discharges, 2023 vs 2024



MACRO ECONOMIC OUTLOOK

The charts shown below paints a bearish picture for fundamentals going forward.

Top left chart:

China's credit growth is a smoothed average change of the monthly total social financing numbers, a figure that includes all financing to the "real economy" i.e. excluding interbank financing. This curve is shifted 12 months forward, as it leads the Baltic Dry Index year on year by roughly that time period. Through the displayed period, there was only one major deviation between the two series, in the middle of 2019. As the credit growth rate continued to fall through the second half of last year, it suggests that the Baltic Dry Index year on year change will remain negative through 2025. The monthly total social financing numbers for January will be released in a few weeks, and will be a very important indication as to whether all the recent stimulus announcements from Chinese officials is starting to translate into increased credit growth.

Top right chart:

The China Economic Growth Index is an average of key economic data, which in our opinion gives a more accurate measure of China's growth rates rather than GDP. The average growth rate of that index since 2020 has been a mere 1.2%, and last year the index was negative at -2.1%. These figures are far below the reported GDP numbers. The index have correlated tightly with total dry bulk shipment volume growth (all countries and commodities) the last 15 years. However, last year there was a deviation, as inventory building in China drove import demand rather than underlying fundamentals. Maybe a cause for concern as the previous year there was such a deviation was in 2014.

Middle left chart:

We have covered this chart in previous reports. Here is the text from our November report:

China's currency trades under a so-called 'managed float', which means the central bank is heavily involved in trying to keep it trading around a desired level. This process sometimes obviously involves buying Yuan against the USD, and vice versa. The USDCNY is therefore an important part of the domestic liquidity situation. Recent stimulus measures in China will naturally involve expanding the domestic money supply to fund infrastructure projects as well as trying to revive the property sector. That, along with weaker domestic economic growth rates means there should be heavy downward pressure on the Yuan.

To counteract this downward pressure, the central bank has to buy increasing amounts of Yuan to keep the currency stable, with the flipside of this being that it nullifies other liquidity-increasing factors. That is why there is a very high correlation between the 9-month lead of the year-on-year change of the USDCNY and China's year-on-year growth of dry bulk imports. The chart displaying this relationship is shown in the middle left below. Over the last year, the Yuan has strengthened relative to the USD,

which strongly suggests China's dry bulk import growth will continue to fall over the coming 9 months. In our view, China's government has to allow the Yuan to weaken considerably going forward for the stimulus measures to succeed.

Since the November update, the correlation continues to hold, as China's import growth trends down. The USDCNY year on year change have increased a bit, but is not yet indicative of higher import growth over the next 9 months.*

Middle right chart:

The chart shows the preceding 18 months change of coal, oil and natural gas prices, respectively (so, prices now compared to July 2023). These curves are shifted 18 months forward, as the change in energy prices are important drivers of economic growth. The higher the curves are, the cheaper energy prices are relative to 18 months ago, and vice versa. The Baltic Dry Index year on year change has a quite good correlation with these curves. However, the last months the correlation has been lost, as the Baltic Dry Index year on year change have turned negative, even though the energy price change leads suggested it would remain positive through the first half of 2025. That should be slightly encouraging for owners, as the energy price leads suggest global economic growth will continue to weaken until the middle of 2026, at least.

Bottom left chart:

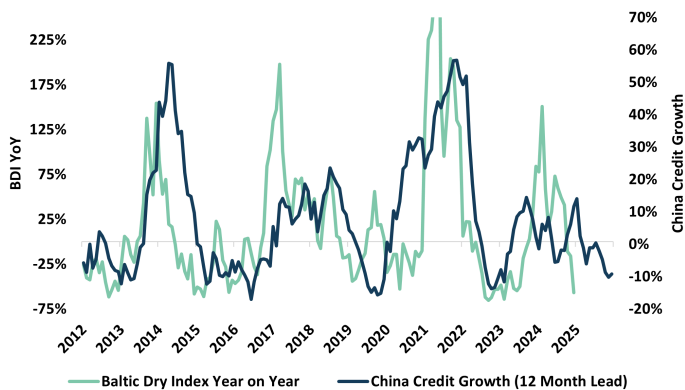
The chart shows total iron ore inventories in Chinese ports and at Chinese steel mills, divided by daily imported iron ore consumption. This ratio is now at the highest point since early 2022. Either consumption must rise, or inventories have to fall for the ratio to go to a level where one could turn bullish on market fundamentals.

Bottom right chart:

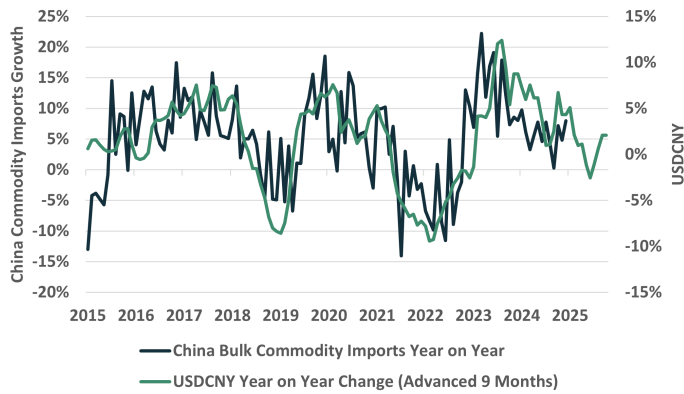
Daily imported iron ore consumption in China, and the year on year change. Consumption remains below the peak levels of 2022 and 2023, but at least the year on year change have started to turn positive. The post CNY seasonal upturn will be interesting to watch over the next two months.

Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)

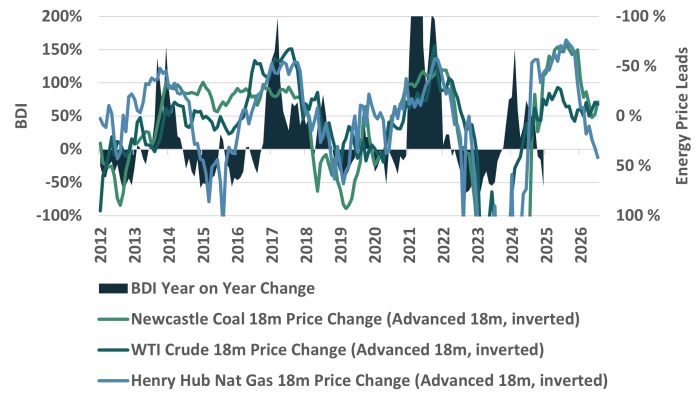
China Economic Growth Index vs Global Dry Bulk Shipments Growth



USDCNY YoY, 9 Months Lead vs China Bulk Commodity Imports YoY



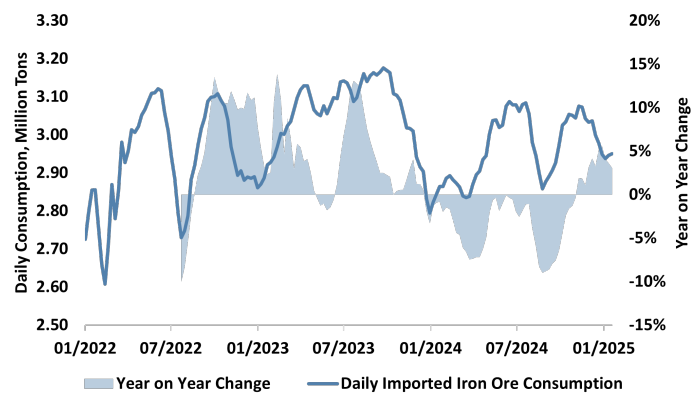
Gas, Oil and Coal Price Change Lead vs BDI Year on Year Change



China Ports and Steel Mills' Iron Ore Inventories Divided by Daily Imported Iron Ore Consumption



China Daily Imported Iron Ore Consumption



FRED, OECD, S&P Global, MySteel, AxsMarine, Baltic Exchange



Disclaimer

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